

gathered suggested new experiments to run, which moved our metrics closer and closer to our goal.

THE AUDACITY OF ZERO

Despite IMVU's early success, our gross numbers were still pretty small. Unfortunately, because of the traditional way businesses are evaluated, this is a dangerous situation. The irony is that it is often easier to raise money or acquire other resources when you have zero revenue, zero customers, and zero traction than when you have a small amount. Zero invites imagination, but small numbers invite questions about whether large numbers will ever materialize. Everyone knows (or thinks he or she knows) stories of products that achieved breakthrough success overnight. As long as nothing has been released and no data have been collected, it is still possible to imagine overnight success in the future. Small numbers pour cold water on that hope.

This phenomenon creates a brutal incentive: postpone getting any data until you are certain of success. Of course, as we'll see, such delays have the unfortunate effect of increasing the amount of wasted work, decreasing essential feedback, and dramatically increasing the risk that a startup will build something nobody wants.

However, releasing a product and hoping for the best is not a good plan either, because this incentive is real. When we launched IMVU, we were ignorant of this problem. Our earliest investors and advisers thought it was quaint that we had a \$300-per-month revenue plan at first. But after several months with our revenue hovering around \$500 per month, some began to lose faith, as did some of our advisers, employees, and even spouses. In fact, at one point, some investors were seriously recommending that we pull the product out of the market and return to stealth mode. Fortunately, as we pivoted and experimented, incorporating what we learned into our product development and marketing efforts, our numbers started to improve.